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For example, On 1st June, 2017, ` 1,000 was given to the petty cashier. He had spent ` 940 during the month. He will be paid ` 940 on 30th June by the cashier so that he may again have ` 1,000 for the next month i.e., July, 2017.

7.10.2 Advantages of maintaining petty cash book

Following are the advantages of maintaining petty cash book:

(i) There can be better control over petty payments.

(ii) There is saving of time of the main cashier.

(iii) Cash book is not loaded with many petty payments.

(iv) Posting of entries from main cash book and petty cash book is comparatively easy.

7.10.3 Types of petty cash book

There are two types of petty cash books. They are:

(i) Simple petty cash book

(ii) Analytical petty cash book

(i) Simple petty cash book

A simple petty cash book resembles the single column cash book. But the columns are different. On the debit side, only the advance received from the head cashier is recorded. On the credit side, all payments are recorded in only one column. This is known as simple petty cash book.

(ii) Analytical petty cash book

In analytical petty cash book, a separate column is provided for different heads of payments and one column for total payments. When the petty expenses are recorded in the total payment column, same amount is also recorded in the appropriate expense column. This is known as analytical petty cash book.

Dr. **Format of analytical petty cash book** **Cr.**

Receipts	C.B F.N	Date	Particulars	V.N.	Total payments	Postage	Stationery	Carriage	Travelling expenses	Refreshments	Sundries	Personal accounts	L.F.